

a bull market and a change in dividend policy supplies the necessary impetus. Even in a bull market a sound stock may lag behind the procession in a discouraging manner for weeks or months. The trader who is always looking for "action" in the market will usually jump from one stock to another during the course of a bull movement only to find at the end that he has made far less money than he would have made by putting his money in ten or a dozen carefully chosen issues at the beginning and holding them. . . .

IMPORTANCE OF INFORMATION

Rule No. 6 lays further stress on the importance of the "unknown" factor in analyzing a security. So far as he is dealing with the unknown the speculator is gambling. He must seek by every means to reduce the element of gambling to a minimum. To do this he must confine his transactions for the most part to securities about which he may obtain at fairly frequent intervals and with a minimum of trouble adequate information. There are many good stocks about which adequate information is not available and money is often to be made in them. Where the information which is forthcoming is favorable or where sufficient information may be obtained by taking some trouble it may be advisable to purchase such a stock, but it is sound policy not to place too great a proportion of a given fund in an issue of this type.

It is sometimes worth while to go to some trouble to obtain sound information. For example, a certain moderate-sized manufacturing company publishes only a condensed annual balance sheet by way of informing its shareholders regarding its operations. For some years this balance sheet showed an item of accounts receivable entirely too large for the size of the business. This fact suggested that the stock might not be a bargain after all at a price equal to half the net quick assets behind it despite a good record of earnings and